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ANTA | Asia Pacific

Descente China Meeting: Rmb20bn Ambition; Premium Margins Sustainable

Key Takeaways

- Descente China targets Rmb20bn in long-term retail sales and remains committed to its positioning as a premium, professional sports brand.
- The company believes premium consumption continues to be robust in China, even as the mass market has been under bigger pressure.
- The brand serves three core customer groups: 1) high-income sports enthusiasts; 2) professional athletes; and 3) consumers pursuing a premium lifestyle.
- The share of younger and female members is increasing. Sales of core women's products rose 35% y/y, accounting for 1/3 of the brand's retail sales.
- Descente China has expanded into SEA markets. ANTA remain open minded about partnering with Descente JP to explore other overseas markets.

Channels: Online will remain primarily an engagement channel rather than a growth driver, with the company maintaining a disciplined online sales mix to protect its premium positioning. New products are priced the same across online and offline channels. Offline expansion will also remain disciplined, with SSSG as the key growth driver. The company uses the "D500" model, comprising 500sqm stores with Rmb50mn in annual sales. When opening new stores, it considers the city's commercial standing and whether the market has a sufficient concentration of target customers. Sales per sqm remains a key metric in store-opening decisions.

Categories: It will continue to focus on snow sports, golf and triathlons, where growth visibility remains high, while further developing its running and training categories. Snow products sales doubled in the past season, and D-Pro running shoe rose 40% y/y in 1H. Golf saw 40% growth and it has 13 standalone stores. There are 30 Kids stores and 7 Blanc stores (urban functional style).

Margins: All channel discount at 10% off only, and the fast sales growth gives company sufficient funds for future investment. It is confident in the sustainability of high margins.

Membership: The brand currently has more than 2mn annual active members. High-tier membership increased 30%, outpacing overall member growth. Retention among existing customers remained stable at 80%.

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ANTA Sports Products (2020.HK, 2020 HK)

China/Hong Kong Consumer | China

Stock Rating	++
Industry View	In-Line
Shr price, close (Jul 17, 2026)	HK\$74.15
Price target	++
Up/downside to price target (%)	-
52-Week Range	HK\$106.30-66.85
Sh out, dil, curr (mn)	2,921
Mkt cap, curr (mn)	US\$27,632
EV, curr (mn)	US\$27,544
Avg daily trading value (mn)	US\$100

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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ANTA Sports Products (2020.HK)	++	HK\$74.15
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.77
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.10
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb19.30
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$29.00
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$14.95
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$24.08
Li Ning (2331.HK)	O (10/09/2019)	HK\$14.80
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$53.15
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$163.60
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb56.73
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$13.92
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb17.61
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.17
Topsports International Holdings Ltd (6110.HK)	O (11/13/2019)	HK\$1.91
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$7.50
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.07
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb38.48
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb99.17
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$49.46
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb52.90
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$11.82
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb12.10
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb53.39
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb36.00

Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$31.44
Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$11.66
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb15.74
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$350.00
Super Hi (HDL.O)	E (01/14/2025)	US\$13.33
Zhejiang Supor Co. Ltd. (002032.SZ)	E (01/17/2022)	Rmb43.85
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb85.30
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.54
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$11.30
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$17.90
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$23.70
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb43.19
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb124.43
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$109.80
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb39.95
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb20.95
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.04
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,253.00
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb82.46
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$92.25
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb82.71
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$33.66
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.83
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$42.22
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb116.24
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb24.60
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$11.59
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$44.90
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb52.51
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.61
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.44
WH Group (0288.HK)	O (02/24/2025)	HK\$8.24
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb72.76
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb39.77
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.94
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb26.11
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$43.87
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.67
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$19.06
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$5.91
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb37.31
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb28.93
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb32.50
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$44.40
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$13.64
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$128.30
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$13.66

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.